

September 9th, 2026

Dear members of the International Accounting Standards Board,

We appreciate the opportunity to comment on the *Exposure Draft: IFRS for SMEs Accounting Standard—Consolidation Exception*. We are faculty members of the Financial Economics and Accounting Department at Universidad Loyola Andalucía (Spain).

PhD. Antonio Barral-Rivada

PhD. Marta de Vicente-Lama

PhD. Horacio Molina-Sánchez

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Question 1—Proposed amendments to paragraph 9.3 of the IFRS for SMEs Accounting Standard

We support extending to intermediate parent entities applying the IFRS for SMEs the consolidation exemptions available under full IFRS.

In this comment letter, we offer two observations. The first relates to the rationale and drafting of the exemption. The second concerns the link between the consolidation requirements and the regulations in each jurisdiction through which information is provided to users.

1.- Rationale for the Proposal and Drafting of the Amendment

Paragraph 9.3 of the IFRS for SMEs provides a consolidation exemption when the ultimate parent prepares consolidated financial statements. However, the SMEIG considered a question regarding the availability of the exemption when the ultimate parent is an investment entity. Under full IFRS, this issue has been resolved by retaining the exemption regardless of whether the ultimate parent consolidates its subsidiaries or measures its investments at fair value through profit or loss. The foregoing is consistent with the objective of the IFRS for SMEs of reducing complexity relative to full IFRS.

The IFRS for SMEs does not provide a consolidation exemption for parent entities that are investment entities. Consequently, paragraph 9.3 does not include a requirement equivalent to that set out in IFRS 10.4(a)(iv) for cases in which investments are measured at fair value through profit or loss. This matter is appropriately addressed in paragraph BC5 of the Basis for Conclusions accompanying the Exposure Draft. The rationale for the consolidation exemption focuses on the purpose of the investment rather than on the nature of the investing entity. In the Third Edition of the IFRS for SMEs, it is explicitly stated that the venture capital nature of the parent entity does not permit the exclusion of the consolidation of its investment portfolio (paragraph 9.3.E(a)).

IFRS 10.4(a)(iv) requires the financial statements of the ultimate parent entity to be available for public use. This requirement that the financial statements be “available for public use” is not included in the proposal, although we believe it should be incorporated in order to achieve the intended equivalence. This difference is highlighted in dissenting opinion OA6(a).

We propose adding the following text (shown in red):

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“9.3 A parent need not present consolidated financial statements if both of the following conditions are met:

(a) the parent is itself a subsidiary; and

(b) its ultimate parent (or any intermediate parent) produces:

(i) consolidated general purpose financial statements that comply with this Standard; or

(ii) general purpose financial statements that comply with full IFRS Accounting Standards, **that are available for public use**, in which subsidiaries are consolidated or are measured at fair value through profit or loss, in accordance with IFRS 10 Consolidated Financial Statements.

~~(b) its ultimate parent (or any intermediate parent) produces consolidated general purpose financial statements that comply with full IFRS Accounting Standards or with this Standard.”~~

2.- Connection with the Corporate Law Framework of the Jurisdiction

One of the challenges in determining the scope of consolidated financial reporting, and the entities required to apply the IFRS for SMEs, is whether these matters should be addressed by IFRS Standards or by local jurisdictions.

Both full IFRS and the IFRS for SMEs permit a subsidiary whose parent either measures its investments at fair value through profit or loss or consolidates its subsidiaries to choose whether to prepare consolidated financial statements. This flexibility allows a jurisdiction that considers the consolidated financial information of such intermediate entities useful for a particular group of users to require consolidation in order to protect those users’ right to information. If our understanding is correct, this addresses any concern regarding a potential impairment of those users’ right to information.

Question 2—Effective date and transition

No comments.

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